

Azure Cost Optimisation Checklist for Indian SMBs

30 leak points we see repeatedly in mid-market Azure accounts

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30 leak points we see repeatedly in mid-market Azure accounts. INR figures reference Central India / South India region, April 2026.

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How to use this checklist

Work through the 30 items. Mark each **DONE**, **NOT APPLICABLE**, or **ACTION REQUIRED**. Any ACTION REQUIRED item with an estimated saving above ₹10,000/month becomes a Jira ticket before this document goes in a drawer.

The 30 items are ordered by typical INR impact across the Indian mid-market accounts we have reviewed. None require re-architecture. Most can be closed in a day of engineering time.

Section 1 – Compute (Items 1–8)

1. Over-provisioned Virtual Machines

What leaks: VMs sized for peak load running 24x7 at 10–20% CPU utilisation. **How to detect:**

```
az vm list --query "[].{name:name,size:hardwareProfile.vmSize}" -o table
# Then check Azure Monitor → Metrics → Percentage CPU over 30 days, per VM
```

Fix: Right-size to a smaller SKU family (D2s_v5 → B2s, D4s_v5 → D2s_v5). The B-series is designed for burstable workloads at 40–55% discount. **Typical saving:** ₹8,000–₹35,000/VM/month.

2. Reserved Instances / Savings Plan coverage below 70%

What leaks: Steady-state workloads running on pay-as-you-go when 1-year or 3-year Reserved Instances / Savings Plans would reduce cost by 40–60%. **How to detect:** Azure Portal → Cost Management → Reservations → Recommendations **Fix:** Purchase 1-year No-Upfront Reserved Instances for any VM family running >70% of hours. Azure Savings Plans (introduced 2022) offer flexibility across VM families at ~35% discount. **Typical saving:** 30–55% on covered workloads.

3. Dev / test environments running 24x7

What leaks: Non-prod VMs billed for 168 hours/week when only used 40 hours/week. **How to detect:** Filter Cost Management by tag Environment=dev|test|staging. Check Azure Monitor for activity patterns. **Fix:** Azure Automation → Start/Stop VMs during off-hours (free extension). Or migrate to Azure DevTest Labs for built-in scheduling. **Typical saving:** 60–75% on non-prod compute.

4. Azure Hybrid Benefit not claimed

What leaks: Windows Server VMs paying per-core licensing when existing Software Assurance licences would cover them. **How to detect:** Cost Management → filter Product = “Virtual Machines” with Windows. Look for “without Azure Hybrid Benefit”. **Fix:** Enable Azure Hybrid Benefit on eligible VMs – one-click in Azure Portal. **Typical saving:** Up to 40% on Windows Server VM cost.

5. Legacy VM SKUs (A-series, D-series v1/v2)

What leaks: Older VM generations priced 20–40% higher than current-gen equivalents for the same performance. **How to detect:** Cost Management → VM size analysis. Flag any A_v2, D_v1, D_v2, D_v3 instances. **Fix:** Migrate to D_v5 or D_v6 series (latest generation). Performance improves and cost drops simultaneously. **Typical saving:** 20–30%/VM/month.

6. AKS node pools provisioned for peak

What leaks: Node pools sized for peak traffic that occurs 2 hours/day, idle 22 hours. **How to detect:**

```
az aks nodepool list --cluster-name <name> --resource-group <rg> -o
table
# Check Azure Monitor → Insights → AKS → Node pool utilisation
```

Fix: Enable Cluster Autoscaler. Use scheduled scaling for predictable traffic patterns. Consider Azure Virtual Nodes (ACI) for bursty workloads. **Typical saving:** £20,000–£80,000/cluster/month.

7. Spot VMs not used for batch / CI / stateless workloads

What leaks: Pay-as-you-go VMs running interruptible workloads when Spot VMs at 60–90% discount are available. **How to detect:** Identify fault-tolerant workloads: CI runners, batch jobs, dev environments, stateless web tiers. **Fix:** Use Spot VMs for these. Azure sends a 30-second eviction warning – implement graceful shutdown. **Typical saving:** 60–90% on eligible workloads.

8. App Service Plans oversized

What leaks: P1v3 (\$146/month) running a workload that fits on B1 (\$13/month). **How to detect:** App Service → Scale Up → current plan + metrics. Check CPU + memory over 30 days. **Fix:** Scale down to the smallest plan that meets p95 utilisation with 30% headroom. **Typical saving:** £5,000-£12,000 per app service.

Section 2 – Storage (Items 9–14)

9. Blob Storage in Hot tier holding cold data

What leaks: Hot tier at \$0.018/GB/month storing data untouched for 12+ months. **How to detect:**

```
az storage blob list --account-name <name> --container-name <container> \
    --query "[?properties.lastModified<'2025-04-01'].
{name:name,size:properties.contentLength}" -o table
```

Fix: Lifecycle management policy → transition blobs untouched 90+ days to Cool tier (\$0.0100), 180+ days to Archive tier (\$0.00099). **Typical saving:** 60–95% on cold data.

10. Unattached Managed Disks

What leaks: Disks orphaned after VM deletion, still billed monthly. **How to detect:**

```
az disk list --query "[?managedBy==null].
{name:name,sizeGb:diskSizeGb,location:location}" -o table
```

Fix: Automated cleanup after 30 days of unattached status. Use Azure Resource Graph for scheduled queries. **Typical saving:** £200-£1,500 per disk per month.

11. Premium SSD where Standard SSD would suffice

What leaks: P30 (1 TiB at \$135/month) on dev VMs when E30 Standard SSD (\$75/month) has adequate IOPS. **How to detect:** Disk performance metrics → IOPS and throughput utilisation over 30 days. If under 50% of Premium SSD limits consistently, Standard is fine. **Fix:** Migrate to Standard SSD (v2) for 40–50% discount. Performance is adequate for most non-prod and many prod workloads. **Typical saving:** £4,000-£15,000 per disk.

12. Stale Snapshots

What leaks: Daily snapshots accumulating indefinitely at full storage cost. **How to detect:**

```
az snapshot list --query "[?timeCreated<'2026-01-01'].
{name:name,size:diskSizeGb}" -o table
```

Fix: Retention policy – keep 30 days of daily, 12 months of monthly, purge the rest. Azure Backup handles this natively. **Typical saving:** £5,000-£25,000/month across a typical account.

13. File Shares over-provisioned

What leaks: Premium file shares provisioned at 10 TiB, actually storing 1 TiB. **How to detect:** Storage account → File shares → capacity vs provisioned. **Fix:** Resize file shares to actual usage + 20% buffer. Premium is billed on provisioned size, not used. **Typical saving:** 40-80% on Premium file share cost.

14. Blob versioning + soft delete without limits

What leaks: Every blob version retained forever, turning a 500 GB container into 5 TB. **How to detect:** Storage account → Data protection → soft delete + versioning settings. **Fix:** Set soft delete retention to 14 days (not default 90). Configure version retention – keep 10 most recent per blob. **Typical saving:** 50-85% on affected containers.

Section 3 – Databases (Items 15-19)

15. Azure SQL Database oversized

What leaks: Gen5 Business Critical at 16 vCore (≈1.2L/month) running a workload that fits in 4 vCore Gen5 General Purpose (≈18K/month). **How to detect:** Azure SQL Database → Metrics → DTU/CPU/Memory % over 30 days. **Fix:** Scale down, or migrate to Serverless tier for dev/test which auto-pauses after inactivity. **Typical saving:** 60-85% on oversized instances.

16. Azure Database for MySQL/PostgreSQL – High Availability on non-prod

What leaks: HA-enabled database for dev or test environments doubles the cost for no production value. **How to detect:** Check High Availability setting per database. Filter by environment tag. **Fix:** Disable HA on all non-prod databases. **Typical saving:** 50% on affected databases.

17. Cosmos DB Provisioned Throughput with no autoscale

What leaks: 40,000 RU/s provisioned for peak when average load is 3,000 RU/s. **How to detect:** Cosmos DB → Metrics → Normalized RU Consumption. If average is <20% of provisioned, autoscale is better. **Fix:** Enable Autoscale Throughput – max RU/s stays the same, but billing tracks actual usage with a floor at 10%. **Typical saving:** 40-70% on Cosmos DB cost.

18. Redis Cache oversized

What leaks: Premium P2 (\$720/month) for a cache that holds 500 MB of data. **How to detect:** Azure Cache for Redis → Metrics → Used Memory vs Total Memory. **Fix:** Right-size to the smallest tier meeting throughput + memory needs. Basic/Standard is fine for dev/staging. **Typical saving:** ≈15,000-≈50,000/month per instance.

19. Azure Database Reserved Capacity not purchased

What leaks: Pay-as-you-go Azure SQL / MySQL / PostgreSQL when Reserved Capacity at 20-55% discount is available. **How to detect:** Cost Management → Reservations → Recommendations

→ Azure SQL. **Fix:** Purchase 1-year No-Upfront Reserved Capacity for databases with stable workload. **Typical saving:** 20–55% on database compute.

Section 4 – Networking (Items 20–24)

20. Unused Public IPs

What leaks: Each Standard Public IP: £360/month, even when unattached. **How to detect:**

```
az network public-ip list --query "[?ipConfiguration==null].name" -o tsv
```

Fix: Delete unused Public IPs. Use Dynamic allocation where possible. **Typical saving:** £360 × number of orphaned IPs.

21. Cross-region bandwidth

What leaks: Services in different regions transferring data at £1.80–£3.60/GB. **How to detect:** Cost Management → Data Transfer → cross-region egress bytes by source/destination. **Fix:** Co-locate services that communicate frequently. Use VNet peering within the same region (free). For multi-region deployments, cache or replicate rather than fetch on-demand. **Typical saving:** £20,000–£1,500,000/month depending on scale.

22. Application Gateway / Load Balancer standard tier when Basic suffices

What leaks: Application Gateway v2 (£15,000/month baseline) for low-traffic workloads. **How to detect:** Application Gateway → Metrics → connections/second + data processed. **Fix:** For low-traffic apps, use Basic Load Balancer (free) + Azure Front Door for CDN where needed. **Typical saving:** £10,000–£25,000/gateway/month.

23. ExpressRoute circuits over-provisioned

What leaks: 1 Gbps ExpressRoute circuit at £1.8L/month running at 50 Mbps average. **How to detect:** ExpressRoute → Metrics → Bits in/out per second. **Fix:** Downsize to the next tier (100 Mbps → £22K/month) if consistently under-utilised. **Typical saving:** 50–85% on circuit cost.

24. VPN Gateway SKU oversized

What leaks: VpnGw5 (£45K/month) for a site-to-site VPN that handles 500 Mbps and 20 tunnels. **How to detect:** VPN Gateway metrics → tunnel throughput + count. **Fix:** Size to actual needs. VpnGw1 (£12K/month) handles 650 Mbps and 30 tunnels. **Typical saving:** 60–80% on VPN cost.

Section 5 – Platform / Management (Items 25–27)

25. Log Analytics ingestion without filters

What leaks: All diagnostic logs sent to Log Analytics at $\approx 220/\text{GB}$ ingestion + $\approx 12/\text{GB/month}$ retention. **How to detect:** Log Analytics Workspace → Usage → top ingesting resources. **Fix:** Filter aggressively. Send only what is queried. Use Basic Logs tier ($\approx 45/\text{GB}$) for high-volume verbose logs. Archive older than 90 days to Blob Storage. **Typical saving:** 40-80% on Log Analytics bill.

26. Azure Monitor metrics – custom metric explosion

What leaks: Application Insights ingesting 50M custom metrics/month at $\approx 220/\text{GB}$. **How to detect:** Application Insights → Usage → billing per data type. **Fix:** Use Sampling to reduce by 50-90%. Disable logging for verbose dependency telemetry. **Typical saving:** 50-80% on Application Insights cost.

27. Dev/Test subscriptions not used

What leaks: Azure Dev/Test subscriptions offer discounted rates – but only if activated. **How to detect:** Verify subscription type for all non-prod workloads. **Fix:** Convert non-prod subscriptions to Dev/Test offer (requires eligible Visual Studio subscription). **Typical saving:** 15-30% on non-prod compute.

Section 6 – Governance (Items 28-30)

28. No resource tagging policy

What leaks: Cost attribution impossible without tags. Shadow IT accumulates. **How to detect:** Azure Policy → check for required-tag policies. **Fix:** Enforce mandatory tags via Azure Policy: Environment, Project, CostCenter, Owner. Block resource creation without them. **Typical saving:** Indirect – unlocks all the above.

29. Orphaned Resource Groups

What leaks: RGs from former employees, abandoned projects, stale tests. **How to detect:**

```
az group list --query "[?tags.LastActive<'2025-10-01'].name" -o tsv
```

Fix: Tag every RG with Owner and LastActive. Monthly review. Delete after approval. **Typical saving:** $\approx 10,000-\approx 1/\text{month}$ depending on scale.

30. Azure Advisor recommendations unacted

What leaks: Azure Advisor highlights cost opportunities – most accounts have $\approx 20\text{K}-\approx 2\text{L/month}$ of recommendations sitting unacted. **How to detect:** Azure Portal → Advisor → Cost tab. **Fix:** Review weekly. Close every recommendation with either Action, Dismiss + Reason, or Postpone with date. **Typical saving:** 20-40% on a typical first pass.

Summary

Section	Items	Typical Impact
Compute	1-8	30-50% of total savings
Storage	9-14	15-25%
Databases	15-19	10-20%
Networking	20-24	8-15%
Platform / Management	25-27	5-10%
Governance	28-30	Unlocks the rest

Aggregate target: a typical Indian mid-market Azure account working through this list closes 20-35% of monthly spend over 4-6 weeks of effort.

If you want a second pair of eyes

If you would like us to work through this on your own Azure estate, a free 30-minute **Cloud Cost Health Check** is the starting point. You share a sample billing export. We send back a two-page written summary the same day covering the three highest-impact leaks we see – with specific rupee figures traced to your own data.

Book your free Health Check →
aicloudstrategist.com/book.html

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